and expenditure in relation to the budget and place the review before both Houses of Parliament

- Reduction of revenue deficit by an amount equivalent of 0.5 per cent or more of the GDP at the end of each financial year, beginning with 2004–05 and to be brought to zero by 2008–09
- Reduction of fiscal deficit by an amount equivalent of 0.3 per cent or more of the GDP at the end of each financial year, beginning with 2004–5, so that deficit is less than 3 per cent by 2008–9. The budget of 2015–16 shifted the target year to 2017–18. [5]
- No assumption of additional liabilities (including debt at current exchange rate) in excess of 9 per cent of GDP for the financial year 2004–5 and progressive reduction of this limit by at least one percentage point of GDP in each subsequent year to 6 per cent by 2007–8.
- No guarantees in excess of 0.5 per cent of GDP in any financial year, beginning with 2004–05.
- Four fiscal indicators namely (i) Revenue deficit as a percentage of GDP, (ii) Fiscal deficit as a percentage of GDP, (iii) Tax revenue as percentage of GDP and (iv) Total outstanding liabilities as percentage of GDP are to be projected in the medium term fiscal policy statement.
- For greater transparency in the budgetary process, rules mandate the Central Government to disclose changes, if any, in accounting standards, policies and practices that have a bearing on the fiscal indicators.
- The Government is also mandated to submit statements of receivables and guarantees and a statement of assets, at the time of presenting the annual financial statement, latest by budget 2006–7.
- The rules prescribe the form for the quarterly review of the trends of receipts and expenditures. The rules mandate the Central Government to take appropriate corrective action in case of revenue and fiscal deficits exceeding 45 per cent of the budget